

complaint

Mr G complains St Andrew's Insurance Plc unfairly declined a claim he made on his buildings insurance policy for an escape of water.

Mr G is being represented in bringing this complaint by his son, who has a registered power of attorney. But for ease I'll refer to actions and comments as being those of Mr G (the policyholder) unless otherwise stated.

background

In August 2016 Mr G went into a care home. Around the same time his son contacted the broker of the insurance policy to inform them he had a power of attorney and this was added to Mr G's records. Since that time, Mr G's family regularly visited the property to carry out maintenance and decoration works, so that the property could be either rented out or sold.

In February 2018 Mr G's son attended the property to carry out some maintenance. He found there had been an escape of water that had caused extensive damage to the property. He made a claim to St Andrew's but it declined it. It said the damage caused by the escape of water was excluded as the property had been unoccupied for more than 30 days. It also said it would cancel Mr G's policy and refund him his premiums back he'd paid since August 2017. It said the longest it would insure an unoccupied property was one year, so it backdated the cancellation to reflect this.

Mr G complained to St Andrew's. He said he'd told the broker about the situation in 2016, and wasn't told that if the property was unoccupied any damage wouldn't be covered. He also said he didn't think the property should be classed as unoccupied, as major works were being done to the property and it was visited every other day by someone in his family.

Our investigator didn't think St Andrew's had acted unfairly in declining the claim based on the policy terms. She didn't doubt that Mr G's family visited regularly, but said she didn't think that was enough to say the property was 'occupied' based on the policy.

Mr G didn't agree, he said he'd told the broker the property was no longer occupied and it hadn't updated St Andrew's. He also said he didn't receive any renewal documents in 2017, so he didn't know he should contact St Andrew's about the occupancy of the property.

As Mr G didn't agree, the matter has come to me to decide.

my findings

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint.

Mr G has raised several issues against the broker who he had a meeting with in August 2016. But this complaint will only focus on the actions of St Andrew's as the insurer. The broker's actions, which include the sending of renewal documents, are subject to a separate complaint. So the only thing I'm considering here is whether St Andrew's acted reasonably in declining the claim based on the policy terms. And having looked at everything, I think it has.

Like our investigator, I don't doubt that the property was visited frequently. But in order to meet the definition under the policy the property needs to be lived in by Mr G, or a family member. It must also contain essential items for normal living purposes, such as cooking appliances, sanitary fittings and beds.

Based on what I've seen Mr G's property did have the essential items for normal living, so he's satisfied the second part of the term. But I don't think people visiting the property and carrying out maintenance works, however frequently, could be classed as 'living' in the property.

Mr G says that if the property had been empty for 29 days due to a holiday then the claim would be paid, so it's unfair to rely on this exclusion to now decline it. But insurers are entitled to decide what risks they want to cover. And in this policy it's decided not to cover properties that haven't been lived in for more than 30 days for certain types of damage, unless additional steps are taken to reduce the risk of leaks.

So if St Andrew's had known the property wasn't being lived in, it would only have accepted claims for damage if, amongst other things, the water had been turned off and the property was inspected regularly. I accept the property was visited regularly, but the water hadn't been turned off. And the property hadn't been lived in for around 18 months at the time of the claim, much longer than the 29 days Mr G refers to. So I think Mr G's breach of the policy terms for unoccupied properties has prejudiced St Andrew's position because if the water had been turned off the damage would never have happened. So I don't think it's acted unfairly in relying on the unoccupancy exclusion.

St Andrew's also says if it had known the property was empty, it would have ended cover in August 2017. It says it will only insure an unoccupied property for a year. I've seen its underwriting notes and I'm satisfied this is the action it would have taken had it known about the occupancy of the property. So I don't think it's acted unreasonably in cancelling the policy from August 2017. I note it's refunded the premium Mr G paid which I also think is fair. I say this because had St Andrew's been aware of the unoccupancy of the property when the policy became due for renewal, it would have refused cover. So it's fair now that Mr G gets his money back for a policy that wouldn't otherwise have been renewed.

I accept Mr G says it's the broker's fault that St Andrew's wasn't aware of the property being empty. But I don't think it means it shouldn't apply its policy terms. So I think St Andrew's has acted fairly in declining the claim.

my final decision

My final decision is that I don't uphold this complaint.

Under the rules of the Financial Ombudsman Service, I'm required to ask Mr G to accept or reject my decision before 16 October 2019.

Michelle Henderson
ombudsman